

285A.T - Kioxia Holdings

Framework 6.0.2 · Pricing model updated: 21 September 2026 · Company research baseline: 6 September 2026

Status: Full current artifact. TrendForce upper-end NAND pricing is the active operating case; company-specific realization and long-term forecasts remain conditional.

Classification: MEMORY BOTTLENECK - NAND manufacturing and enterprise storage mix

Portfolio Base: 80/100 - user-selected. Analytical recommendation: **78/100 (47/60)**, advisory only.

Q1 2028 operating ceiling: JPY 208,940.88 per share (pre-split). Financial amounts: JPY billions unless stated otherwise. Ceilings: JPY per share.

The ceiling is one conditional operating case. Probability is not multiplied into revenue, operating profit or the ceiling. Portfolio Base and the analytical category score are distinct; the latter does not overwrite the former.

1. Thesis, products and competitive position

BOTTLENECK with cyclical pricing. Kioxia develops and manufactures NAND with SanDisk through the Japanese JV, then captures revenue through its own product mix and customer contracts. The shared manufacturing base does not make the two companies' revenue, margins, contractual terms or capital burdens identical.

Shared manufacturing, distinct commercial economics

Kioxia and SanDisk share NAND manufacturing development and investment through their Japanese production ecosystem. Yokkaichi, Kitakami, process transitions and BiCS technology link physical wafer and bit economics across the two companies. Their customer agreements, product mix, accounting, currencies and capital structures remain distinct.

The model separates SSD and Storage, Smart Device, and Other with distinct revenue mixes and independently derived margins. The selected Q3/Q4 benchmark price-growth rates are shared across these vectors as an explicit scenario assumption. Higher enterprise SSD mix can alter controller content, qualification, endurance requirements and economics. Node migration changes bits per wafer, but acceptance, yield and product qualification determine usable sold bits.

Supply agreements and capital allocation

Long-term volume arrangements support planning. Public evidence does not establish that every Kioxia contract has the same protected margin or pricing collars as those asserted in another company's research. Customer-specific price terms, mix and currency must remain explicit assumptions where they are undisclosed.

Manufacturing capex, R&D and financing requirements are material even during a strong memory cycle. The completed buyback and economic share proxy below govern the ceiling; an announced stock split changes the share unit, not the underlying business. All principal tables use one consistent pre-split basis. Depreciation, future bit supply and capital returns should be tested together so that strong current margins do not implicitly fund both unlimited capacity and unlimited repurchases.

Research provenance: the product and competitive analysis in this section synthesizes the supplied original research. Dated market-share, process and channel claims retain their original evidence status; this integration is not a new independent verification of those claims. Current earnings and model assumptions are set out below.

2. Earnings, guidance and operating assumptions

Latest earnings and guidance

Calendar Q2 2026 revenue was JPY1,767.117B, non-GAAP OP 1,326.216B and IFRS OP 1,270.017B. Application revenues were 1,174.719B SSD/Storage, 525.656B Smart Device and 66.742B Other. The retained Japanese filing supports calendar Q3 guidance of revenue 2,390B and non-GAAP OP 1,900B by subtracting the first-quarter actuals from cumulative half-year guidance. [KIO-1]

The active pricing case is **JPY2,556.26B revenue and 2,058.36B non-GAAP OP**. It is above the recorded company outlook and is not presented as a company guidance revision. Product gross margins remain modeled rather than disclosed segment profitability. The retained review includes one complete management call; a second complete transcript remains an evidence gap.

Management and contract interpretation

The latest call describes increasing enterprise allocation, higher pricing, customer-specific LTA negotiations and a goal near 50% of 2028 shipment volume. Management expressly describes terms as bespoke. There is no verified basis to label every Kioxia contract with Micron's or SanDisk's pricing floors and ceilings. Source: KIO-2.

The forward SSD/Storage margin path is therefore conditional on mix, pricing and cost execution. It is not represented as contractually guaranteed. Consumer NAND exposure may normalize differently from enterprise SSDs, but both depend on industry output and customer demand.

Forward model and capital plan

Active NAND pricing and source treatment

The active NAND benchmark is **calendar Q3 2026 +23%, Q4 2026 +20% and Q1 2027 +15% sequentially**. Q3/Q4 retain the upper bounds of the owner-supplied TrendForce ranges, ranked Tier 1 alongside Serenity. The added Q1 forecast comes from the owner-supplied Jeff Pu/Jukan summary citing TrendForce. The owner authorized this combined case on September 21. The quoted analyst path was +21%/+17%/+15%; the active case retains the owner's higher 2026 selections. [TF-1, JF-1]

The source's current ranges are Q3 +18-23% and Q4 +15-20%. The original updated table was not independently retrieved. The selected rates are a user-authorized modeling input; the translation into this company's realized prices is analytical. Full benchmark transmission is assumed for modeled NAND product sales, including sales governed by customer agreements. That does not establish that every contract permits immediate repricing. The source rank does not convert undisclosed contract terms into verified facts.

With Q2 2026 indexed to 1.000, active calendar price indexes are **1.230 in Q3, 1.476 in Q4 and 1.6974 in Q1 2027**. The Q1 level is 69.74% above Q2 2026. The +15% is applied once in Q1; it does not recur every quarter. Later forecasts retain their existing operating trajectory at this higher benchmark level. Persistence through 2030 is a modeling assumption, not a forecast supplied by TrendForce or the quoted analysts.

Product production-cost schedules are retained at the existing shipment assumptions. Gross profit equals revised product revenue less those modeled costs; product gross margin is derived. The existing quarterly opex percentages apply to revised revenue. Incremental selling-price gains therefore increase gross margin while also increasing dollar opex. This assumes no additional manufacturing-cost inflation or new cost savings from the pricing update. Multiples, share schedules and portfolio Base scores are retained.

Explicit pricing reconstruction

The inherited model did not separately identify pricing and physical volume. To replace its implicit pricing without adding the full industry increase on top, this case uses a disclosed analytical reconstruction: reference price indexes are 1.150 for Q3 and 1.2075 for Q4, corresponding to the prior TrendForce upper bounds supplied by the owner. These reference indexes are calculation denominators only, not the active price forecast and not evidence of Kioxia's actual ASP assumptions.

For each product, reference-price revenue = inherited modeled revenue / reference price index. Active revenue = reference-price revenue times the active price index of 1.230 in Q3 2026, 1.476 in Q4, or 1.6974 from Q1 2027. This preserves the residual volume/mix/FX contribution implied by that reconstruction. It does not claim to recover actual physical bit shipments. The reconstruction's baseline is LOW confidence; choosing another baseline would change the incremental upgrade.

From Q1 2027 onward, the reference denominator remains 1.2075 and the active benchmark is 1.6974. Each product retains its inherited subsequent revenue-growth pattern, including its embedded volume, mix, currency and later pricing assumptions. The additional Q1 benchmark lift is 15% relative to the previously active 1.476 index. This preserves the existing reconstruction rather than inferring undisclosed physical bit shipments. All three application vectors receive the benchmark in this selected case; exact product/customer exposure remains unverified.

Section 4 supplies the reference-price revenue inputs and active indexes so every revised revenue can be reproduced. Production costs, reconstructed from inherited product sales and GMs, are retained in currency terms. Opex percentages and the constant diluted-share proxy are retained. Annual revenue and OP below are outputs, not additional targets.

On August 27, the partners announced about JPY5T of combined investment through 2032, conditional on government support. This is shared, multi-year expenditure and cannot be counted in full for both partners. Source: KIO-4. K3 targets operations in FY2029, meaning the year beginning April 2029; detailed deployment remains demand-dependent. It contributes no new capacity proof for calendar 2028. Source: KIO-5.

The model retains product production costs and the existing opex percentages; dollar opex rises with revenue. Cash capex net of subsidies is not evidence that NAND manufacturing has negligible depreciation or funding needs. A complete new-project depreciation/financing bridge remains an open condition for later years.

Completed buyback and share denominator

The August 10 notice confirms 16,133,500 shares bought for JPY799.997689B and closes the program. Source: KIO-3. June issued shares net of treasury were 548.014638M. The filing's parent earnings and diluted EPS imply a rounded diluted weighted denominator near 552.21M, versus 546.890636M basic weighted shares. The difference provides an approximately 5.32M current dilution proxy. Source: KIO-1.

The review denominator equals June net issued shares plus that dilution proxy less the completed repurchases, approximately 537.2M shares. It is held constant; no later repurchases are assumed without a funded capital-return schedule. It is a proxy derived from rounded EPS, not a newly disclosed post-buyback diluted share count. New awards and subsequent issuance must still be reconciled.

Valuation and stock split

Use 6x forward four-quarter non-GAAP OP with no probability factor. All main values remain pre-split so comparisons use the same economic unit. The October 1 three-for-one split triples share count and divides per-share ceilings by three. It does not reduce share count. Sources: KIO-6,7. A separate workbook cell displays the post-split equivalent without mixing it into ranking.

3. Analytical score

The category arithmetic gives **47/60 = 78/100** after the existing -5-point risk deduction. The portfolio Base remains **80/100**. Risk-class detail appears in section 7.

Category	Points	Maximum	Basis
Core thesis	16	20	NAND technology, scale and JV assets; contract terms remain bespoke and incompletely disclosed.
Cycle stage	9	10	Very strong pricing and demand, with margins already elevated.
TAM expansion	10	10	AI inference, context storage, enterprise SSD and edge memory expand content.
Catalysts	4	5	Node transitions, customer agreements and new-fab milestones.
Macro	9	10	AI demand supports storage; yen sensitivity remains material.
Alpha	4	5	Japanese buyback completion and capital plan materially improve source precision.
Risks	-5	0	Industry supply; FX; customer terms; financing/capital allocation; product mix and technology execution.

4. Product economics and quarterly operating model

Forecasts distinguish reported anchors from guidance and analyst assumptions. Where the model uses segment OP or an adjusted profit proxy rather than product GP less opex, the stated basis applies; do not treat those proxies as a newly disclosed GAAP decomposition.

Vector evidence

Vector	Source / derivation	Confidence
SSD and Storage	Japanese application revenue; management says data center/enterprise exceeds 60% of this vector	HIGH actual revenue; LOW product GM/forecast
Smart Device	Japanese application revenue; smartphone units versus content and ASP	HIGH actual; LOW forward
Other	Japanese application revenue; modeled runoff	HIGH actual; LOW forward

Revenue at reference pricing

JPY billions. Multiply each product amount by the active index to reproduce its current revenue. These inputs preserve the inherited operating trajectory after removing the stated reconstruction denominator. They are not reported sales or verified physical-volume measures.

Quarter	SSD/Storage reference	Smart Device reference	Other reference	Active price index
Q3 2026	1,539.13	480.87	58.26	1.2300
Q4 2026	1,718.43	501.04	57.97	1.4760
Q1 2027	1,937.89	530.02	57.97	1.6974
Q2 2027	2,128.36	546.58	57.97	1.6974
Q3 2027	2,294.00	559.01	62.11	1.6974
Q4 2027	2,430.64	567.29	66.25	1.6974
Q1 2028	2,534.16	571.43	66.25	1.6974
Q2 2028	2,616.98	571.43	66.25	1.6974
Q3 2028	2,683.23	571.43	66.25	1.6974
Q4 2028	2,741.20	571.43	66.25	1.6974
Q1 2029	2,786.75	571.43	62.11	1.6974
Q2 2029	2,832.30	571.43	57.97	1.6974
Q3 2029	2,869.57	571.43	53.83	1.6974
Q4 2029	2,906.83	571.43	49.69	1.6974
Q1 2030	2,935.82	571.43	45.55	1.6974

Quarter	SSD/Storage reference	Smart Device reference	Other reference	Active price index
Q2 2030	2,964.80	571.43	41.41	1.6974
Q3 2030	2,993.79	571.43	37.27	1.6974
Q4 2030	3,022.77	571.43	33.13	1.6974

Product revenue build

Quarter	SSD and Storage	Smart Device	Other	Total
Q3 2026	1,893.13	591.47	71.66	2,556.26
Q4 2026	2,536.40	739.53	85.57	3,361.49
Q1 2027	3,289.37	899.66	98.40	4,287.43
Q2 2027	3,612.69	927.77	98.40	4,638.86
Q3 2027	3,893.83	948.86	105.43	4,948.11
Q4 2027	4,125.77	962.91	112.46	5,201.14
Q1 2028	4,301.49	969.94	112.46	5,383.89
Q2 2028	4,442.06	969.94	112.46	5,524.46
Q3 2028	4,554.51	969.94	112.46	5,636.91
Q4 2028	4,652.91	969.94	112.46	5,735.31
Q1 2029	4,730.23	969.94	105.43	5,805.60
Q2 2029	4,807.54	969.94	98.40	5,875.89
Q3 2029	4,870.80	969.94	91.37	5,932.11
Q4 2029	4,934.06	969.94	84.34	5,988.34
Q1 2030	4,983.26	969.94	77.31	6,030.51
Q2 2030	5,032.46	969.94	70.29	6,072.69
Q3 2030	5,081.66	969.94	63.26	6,114.86
Q4 2030	5,130.86	969.94	56.23	6,157.03

Product gross margins

Quarter	SSD and Storage	Smart Device	Other	
Q3 2026		85.5%	83.9%	81.3%
Q4 2026		88.5%	88.1%	85.9%
Q1 2027		90.8%	90.9%	89.0%
Q2 2027		91.2%	91.6%	89.7%
Q3 2027		91.3%	91.7%	89.8%
Q4 2027		91.0%	90.9%	88.8%
Q1 2028		90.5%	89.3%	87.1%
Q2 2028		89.8%	87.2%	84.8%
Q3 2028		89.0%	84.9%	82.2%
Q4 2028		88.2%	82.6%	79.7%
Q1 2029		87.4%	80.5%	77.2%
Q2 2029		86.7%	78.7%	75.2%
Q3 2029		86.1%	77.1%	73.5%
Q4 2029		85.5%	75.8%	72.2%
Q1 2030		85.0%	74.8%	71.1%
Q2 2030		84.6%	74.0%	70.3%
Q3 2030		84.2%	73.5%	69.8%
Q4 2030		83.9%	73.0%	69.3%

Quarterly operating model

Quarter	Status	Revenue	Gross profit	Gross margin	Opex	Operating profit	OP margin
Q3 2026	Model	2,556.26	2,173.39	85.0%	115.03	2,058.36	80.5%
Q4 2026	Model	3,361.49	2,971.23	88.4%	150.59	2,820.63	83.9%
Q1 2027	Model	4,287.43	3,890.46	90.7%	191.65	3,698.81	86.3%
Q2 2027	Model	4,638.86	4,232.15	91.2%	207.36	4,024.79	86.8%
Q3 2027	Model	4,948.11	4,521.15	91.4%	221.68	4,299.47	86.9%
Q4 2027	Model	5,201.14	4,731.09	91.0%	234.05	4,497.04	86.5%
Q1 2028	Model	5,383.89	4,855.79	90.2%	244.97	4,610.82	85.6%
Q2 2028	Model	5,524.46	4,928.10	89.2%	255.23	4,672.87	84.6%
Q3 2028	Model	5,636.91	4,968.43	88.1%	264.93	4,703.50	83.4%
Q4 2028	Model	5,735.31	4,994.61	87.1%	274.72	4,719.89	82.3%
Q1 2029	Model	5,805.60	4,996.94	86.1%	283.89	4,713.04	81.2%
Q2 2029	Model	5,875.89	5,004.99	85.2%	293.21	4,711.78	80.2%
Q3 2029	Model	5,932.11	5,006.61	84.4%	301.94	4,704.67	79.3%
Q4 2029	Model	5,988.34	5,014.24	83.7%	310.79	4,703.45	78.5%
Q1 2030	Model	6,030.51	5,015.93	83.2%	319.01	4,696.92	77.9%
Q2 2030	Model	6,072.69	5,023.13	82.7%	327.32	4,695.81	77.3%
Q3 2030	Model	6,114.86	5,035.83	82.4%	335.71	4,700.13	76.9%
Q4 2030	Model	6,157.03	5,053.38	82.1%	344.18	4,709.20	76.5%

Forecast confidence: LOW for company-specific pricing realization, product margins and the long-range operating path. The industry pricing input is Tier 1. Reporting anchors and company guidance retain their distinct source status.

Annual model cross-check

Calendar year	Revenue	Operating profit	OP margin
2027	19,075.54	16,520.12	86.6%
2028	22,280.57	18,707.08	84.0%
2029	23,601.94	18,832.94	79.8%
2030	24,375.09	18,802.05	77.1%

5. Forward four-quarter operating ceiling

All main ceilings and share denominators use a consistent pre-split basis. Ceiling = current-plus-next-three-quarter non-GAAP OP in JPY billions $\times 1,000 \times 6$ / diluted-share proxy in millions. After the three-for-one split, multiply shares by 3 and divide price and ceiling by 3; economic upside is unchanged. A post-split Q1 2028 equivalent is shown separately in the workbook.

Quarter	Exact earnings window	Forward four-quarter OP	Multiple	Diluted shares (M)	Ceiling per share
Q3 2026	Q3 2026 to Q2 2027	12,602.59	6.00	537.20	140,759.41
Q4 2026	Q4 2026 to Q3 2027	14,843.71	6.00	537.20	165,790.56
Q1 2027	Q1 2027 to Q4 2027	16,520.12	6.00	537.20	184,514.52
Q2 2027	Q2 2027 to Q1 2028	17,432.12	6.00	537.20	194,700.82
Q3 2027	Q3 2027 to Q2 2028	18,080.20	6.00	537.20	201,939.24
Q4 2027	Q4 2027 to Q3 2028	18,484.23	6.00	537.20	206,451.84
Q1 2028	Q1 2028 to Q4 2028	18,707.08	6.00	537.20	208,940.88
Q2 2028	Q2 2028 to Q1 2029	18,809.30	6.00	537.20	210,082.61
Q3 2028	Q3 2028 to Q2 2029	18,848.21	6.00	537.20	210,517.22
Q4 2028	Q4 2028 to Q3 2029	18,849.38	6.00	537.20	210,530.29
Q1 2029	Q1 2029 to Q4 2029	18,832.94	6.00	537.20	210,346.62
Q2 2029	Q2 2029 to Q1 2030	18,816.81	6.00	537.20	210,166.50
Q3 2029	Q3 2029 to Q2 2030	18,800.84	6.00	537.20	209,988.12
Q4 2029	Q4 2029 to Q3 2030	18,796.30	6.00	537.20	209,937.38
Q1 2030	Q1 2030 to Q4 2030	18,802.05	6.00	537.20	210,001.63

Mechanical share sensitivity

Holding the Q1 2028 operating case fixed:

Share denominator	Ceiling per share (JPY)
Current model	208,940.88
5% more shares	198,991.32
10% more shares	189,946.26

All main values are pre-split. The three-for-one split equivalent is JPY69,646.96 per share with three times the share denominator.

This is a denominator sensitivity, not a forecast of additional issuance.

6. Industry relationships and read-throughs

SanDisk is the most direct production cross-check. Samsung, SK hynix and Micron inform industry supply and allocation, subject to different product exposures. Longsys, ESMT and Penguin are downstream or fabless businesses with different replacement-cost exposure.

7. Risks and falsification tests

The following ledger makes the existing aggregate risk deduction explicit. It does not introduce another deduction or change the analytical score.

Risk class	Existing deduction
Industry capacity and NAND pricing	-1
Foreign exchange and translation	-1
Customer contract terms and concentration	-1
Financing and capital allocation	-1
Technology, yield and product mix	-1
Total	-5

Score, industry learning and triggers

The commercial cycle remains strong, while industry capacity, FX, customer-contract terms, capital allocation and technology/product mix are distinct risk classes.

Apply Kioxia's physical node and fab information to SanDisk's shared manufacturing base; apply sales contracts and equity changes only to their actual issuer. Watch signed LTA scope, bit growth versus pricing, achieved repurchases, new awards, K3 investment approvals and the actual depreciation consequences of the shared plan.

Numbered monitoring tests

#	Checkpoint	Evidence supporting the operating case	Counter-test / failure signal
1	Bits and mix	Reconcile product sales to bit output, ASP and enterprise qualification.	Market-size growth alone does not validate Kioxia share or margin.
2	Contracts	Track company-specific volume and pricing disclosures.	Borrowed contract terms from SanDisk do not establish protected Kioxia profitability.
3	Investment	Reconcile capex and R&D with the production ramp and cash generation.	Capacity spending without yield or cash conversion weakens the case.
4	Share units	Reconcile repurchases and apply the stock split consistently to all denominators and ceilings.	Mixed pre/post-split units create a purely mechanical valuation error.

8. Sources, evidence gaps and model snapshot

- **TF-1** · Supplied September 20, 2026 · TrendForce NAND pricing update supplied in this conversation: Q3 2026 +18-23%; Q4 +15-20%. The owner selected +23% and +20% and ranked TrendForce Tier 1 alongside Serenity. The underlying updated table was not independently retrieved. Kioxia's reference-price reconstruction uses the separately supplied prior upper bounds solely as analytical denominators. This is not a source for company-specific contract realization or post-2026 forecasts.

Sources below are those documented in the retained company research and this pricing update. LOW-confidence product allocations, future margins, capacity bridges and incomplete management-call records remain unresolved where stated. Integrating the original research does not itself establish full Framework 6.0 evidentiary certification.

- **KIO-1** · 2026-07-31 · Japanese Q1 earnings filing, year ending March 2027. Exact group/application revenue, non-GAAP and IFRS OP, guidance, issued/basic shares and diluted EPS.

- **KIO-2** · 2026-07-31 · Latest management earnings call transcript. Reproduced English interpretation of management; source numerical transcription checked against Japanese filing.
- **KIO-3** · 2026-08-10 · Japanese buyback completion notice. 16.1335M shares repurchased; JPY800B authorization exhausted and program completed.
- **KIO-4** · 2026-08-27 · Japanese joint investment disclosure. About JPY5T investment jointly with SanDisk through 2032, conditional on government support.
- **KIO-5** · 2026-08-27 · Japanese KitakamiK3 announcement. Target operations in FY2029; detailed equipment timing follows market demand and government support.
- **KIO-6** · 2026-07-31 · Japanese three-for-one split notice. September 30 record date and October 1 effective date.
- **KIO-7** · 2026-09-01 · Supplied current model and framework - User upload:285A_T_Q_Model and Framework6.0. Sanctioned 6x non-GAAP OP multiple; conditional operating trajectory.

The unchanged original source document is retained separately for full research provenance. It is an archive, not an additional active valuation case. Superseded score/ceiling tables are not incorporated into this active artifact.

- **JF-1** - Supplied September 21, 2026: Jeff Pu (@sssjeffpu) and Jukan (@jukan05), "NAND Pricing Breakout Driven by eSSD" summary in the owner's conversation. Quoted Q3 2026 / Q4 2026 / Q1 2027 blended NAND changes: +21% / +17% / +15%, citing TrendForce demand research. Only the Q1 +15% is newly adopted; the owner retains +23% and +20% for 2026. This is an owner-authorized combined case. The original analyst note and exact TrendForce table were not independently retrieved. Enterprise demand commentary is contextual and adds no shipment volume to this update.

Model snapshot: September 21, 2026, Framework 6.0.2. Active calendar NAND case +23% Q3 2026 / +20% Q4 / +15% Q1 2027. Portfolio Base 80/100 preserved; analytical score 47/60. Eighteen operating quarters and fifteen complete forward-four-quarter valuation windows. Q3 2027 ceiling = JPY 201,939.244054; Q1 2028 = JPY 208,940.882762 per share (pre-split). Multiples, share schedules, physical volume proxies, production costs and saved portfolio prices are retained. Previous versions and before/after results are archived separately.